

Launching Regional Digital Payments Platform

Background: Your client is a midsize fintech firm headquartered in Singapore. They've built a mobile-first digital wallet used by 200,000 users in Singapore, and now want to expand into Indonesia.

Agenda

Market Sizing & Segmentation

Competitive Landscape

Customer Needs & Adoption Barriers

Value Proposition & Positioning

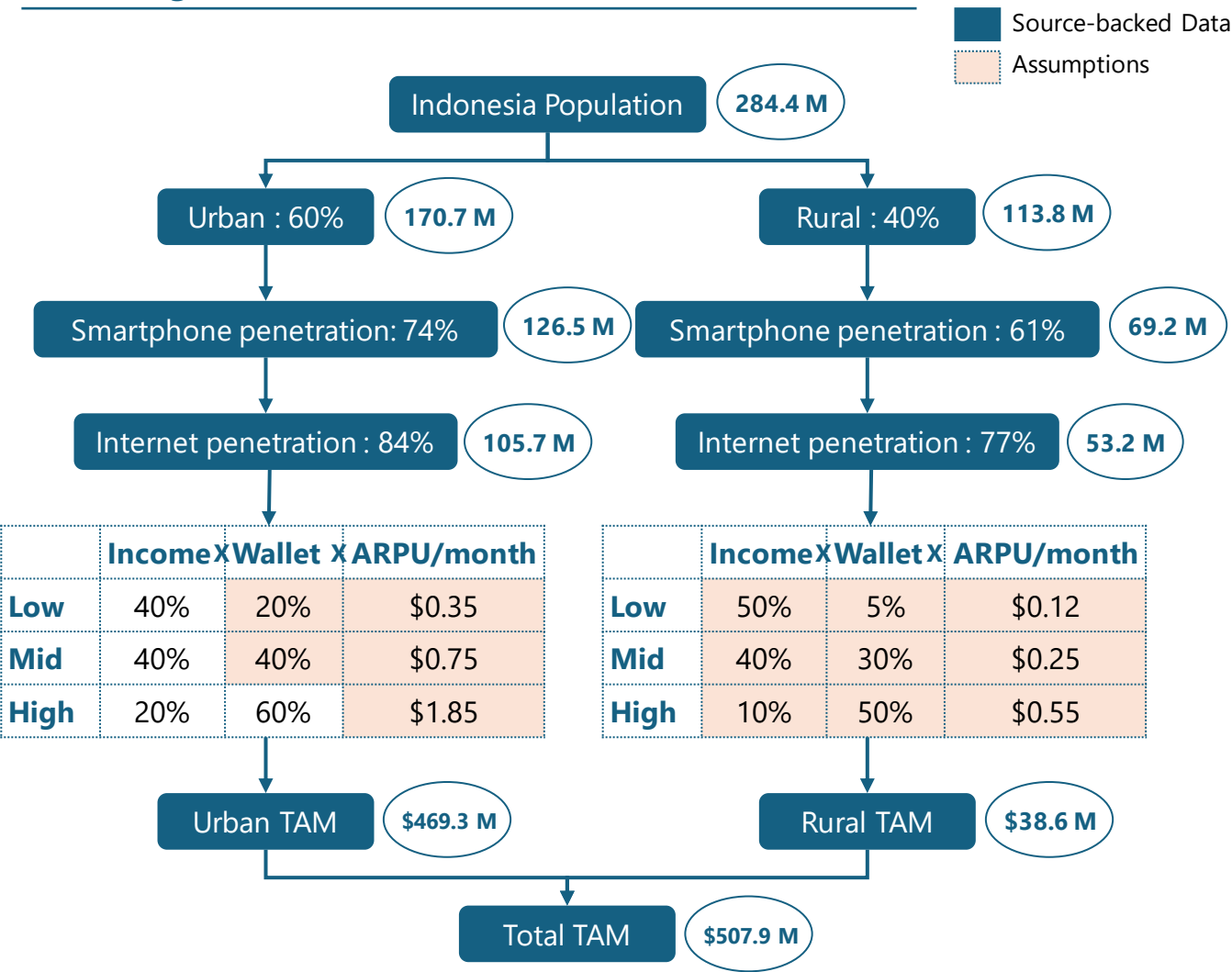
Channel & Partnership Strategy

Pricing & Monetization

Key Metrics & Launch Roadmap

Indonesia's mobile wallet TAM reaches \$508M by 2025, with urban middle and high-income users representing ~85% of near-term opportunity

Estimating TAM for mobile wallets in Indonesia (2025)



Assumptions

- Population and penetration figures are sourced directly from BPS Indonesia and the APJII Survey 2025, not estimated.
- Wallet adoption rates reflect real-world income-linked behavior. Urban high-income users are assumed to adopt wallets at 60% — consistent with GoPay's published regional adoption data.
- Monthly ARPU is derived from three revenue streams: e-commerce wallet share (~\$0.18), QRIS daily transactions at Bank Indonesia's standard 0.7% MDR (~\$0.14), and value-added services like BNPL/credit commissions (~\$0.20).

Key Takeaways

- 92% of total TAM comes from urban cities. The **urban market** is more accessible because merchant density, smartphone penetration, and digital payment habits already exist. Rural is a long-term inclusion play, not a launch market.
- Urban middle and high-income** users represent ~85% of near-term revenue driven by high adoption rates and ARPU.
- ARPU growth** is the real lever, not user volume. The difference between a low- and high-income urban wallet user is roughly 5× in monthly revenue (\$0.35 vs. \$1.85). As users move up the income ladder, wallet rev per user compounds.

*ARPU – Annual Revenue Per User

Sources: [BPS-Statistics Population](#), [Urban Population](#), [Smartphone Penetration](#), [Internet Penetration](#), [Income Split](#), [GoPay Regional Adoption Rates](#), [PCMI](#)

GoPay, OVO, and DANA collectively cover 80%+ of the market — but each is anchored to a single ecosystem, leaving gaps in neutral, cross-platform users

	GoPay	OVO	DANA
Parent Company	GoTo Group	Grab	Emtek + Ant Financial
Usage rates	71 - 88%	70 - 78%	61 - 83%
Registered Users	60+ million	~115 M devices	140-180 million
Monthly Active Users	18.1 million	21.5 million	58.7 million
Core value proposition	Integrated with Gojek super app ecosystem	Rewards system – OVO points redeemable in cash	Indonesia's "Alipay" – positioned as open platform, wallet for financial management
Use cases	Mobility-linked, delivery and commerce	Ecommerce buyers, offline purchase in major retail chains	Digital wallet for everyday Indonesians – utilities, retail, online marketplace
Regulatory ties	All three licensed as e-money issuers by Bank Indonesia, QRIS compliant, involved in Government programs (Kartu Prakerja initiative, PEN-Pemulihan Ekonomi Nasional)		
Strengths	• Strongest merchant network 900,000+ • Sharia-compliant savings • AI voice assistant Dira • Offers financing solutions like GoPay Borrow and GoPay Later	• Strongest loyalty program in market • Best offline merchant networks • OVO collaborates with Superbank to deliver deposit, loan, and investment products.	• Cross-border payment support in Malaysia, Singapore, and Thailand • Offers a range of services from investment access to bill splitting.
Weakness	• Ecosystem dependent (Gojek–Tokopedia) • Functionality only limited to Indonesian market	• OVO's user presence has remained stable – flat growth is a concern in a market still expanding rapidly. • Rewards model is expensive to sustain	• No proprietary super-app to drive organic daily habit • Dependent on third-party integrations (tiket.com) for transaction frequency



No single player exceeds ~25% market share. The market remains genuinely contestable — but entry requires QRIS compliance, OJK licensing, and a clear answer to the question: 'Why would a user open a 4th wallet?'

Security, Reliability and Onboarding are the three friction points incumbents have failed to solve — validate these via primary research before finalizing GTM positioning

Consumer Pain Points



Data Security and Fraud

- Across GoPay, OVO, and Dana, security emerged as the single highest-priority improvement factor in user satisfaction research.
- Issues like sudden balance deduction; cyberattacks such as phishing and OTP fraud were a major concern.
- Wallets are optimized for transaction speed and frequency—security layer gets lost in the UX noise.



Reliability & Customer Support

- Customer service provide generic responses rather than resolving actual financial discrepancies.
- A “successful but missing” transaction problem creates a massive trust crisis between the user and the platform.
- Frequent crashes and login failures during busy hours raises serious reliability concerns.



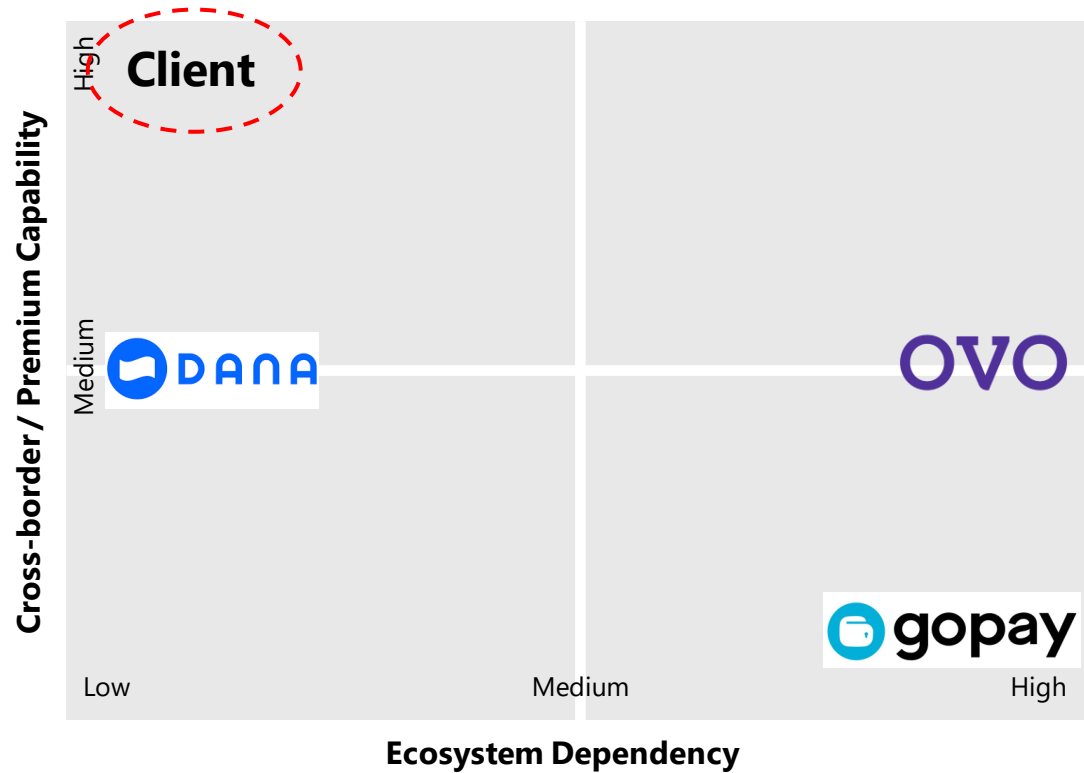
Onboarding & Verification

- Delays in the e-KYC process prevent users from accessing core features like transfers or higher balance limits, leading to early abandonment of the app.
- Users often face technical glitches during document uploads (like ID photos) creating a “bottleneck” at the very start of the user journey.

Primary Research Methods to Consider

1. **Quantitative survey** to size the scale of consumer pain points in existing offerings.
 - Platform: JakPat or Populix
 - Sample: 300-400 respondents
 - Output: Prioritized pain points ranking with statistical significance.
2. **Qualitative survey** to understand the improvement areas and feed product roadmap plans.
 - Platform: Populix or local agency
 - Sample: 15-20 depth interviews
 - Output: Verbatim quotes + specific data points on building trust and transparency.

Incumbents compete on ecosystem lock-in; the underserved gap is trust, transparency, and cross-border utility for the urban professional segment



Competitive White Space

- **The Premium Gap:** Incumbents are focused on local, everyday spending, leaving the high-value cross-border market wide open for a specialized player.
- **Infrastructure Parity:** Since QRIS is universal and affordable, merchant acceptance is no longer a competitive advantage—success depends on the user experience and unique/distinct features.
- **Regulatory shift** creates opportunity: Strict new regulations have cleared out smaller, non-compliant competitors, creating a perfect entry point for a well-capitalized, compliance-focused firm.



Don't compete with the incumbents on their own turf. Instead, position as the wallet for Indonesians who are mobile, professional, and cross-border. **Focus** on seamless SGD↔IDR transfers, build trust (digital wallet in use by 200,000 users in Singapore), compete on the experience layer rather than merchant network.

Position the brand as the "Singapore-standard" digital wallet for the urban professional who values security and effortless cross-border transfers over domestic rewards

Positioning Rationale		
1 Trust Deficit (Security is the #1 unmet need) • Fraud losses reached IDR 7 trillion between late 2024-2025, with OTP/SIM-swap representing 68% of cases. • Security ranked #1 improvement priority by GoPay, OVO and Dana users in satisfaction surveys. • Users prioritize security and reliability over all other factors in adoption intent studies. • Client advantage: MAS-regulated brand = institutional trust signal incumbents cannot credibly claim	2 Cross-border Gap (No wallet owns this space) • ~20% of Indonesia's e-commerce sales in 2024 were cross-border — yet no wallet offers a purpose-built cross-border UX. • Cross-border QR interoperability is opening new tourist-spend corridors. • DANA's cross-border feature is nascent; GoPay and OVO have no cross-border offer for Indonesian users. • Client advantage: 200K Singapore users = live cross-border user base on Day 1	3 Proven Technology (Fintech firm registered in Singapore) • Singapore ranks 6th globally in Fintech Index 2025, and global investors prefer Singapore fintechs due to reliable regulation, strong compliance, and trusted IP protection. • Client already has 200,000 Singapore users and MAS licensing. • Client advantage: The positioning must be framed as ASEAN-native, Singapore-regulated — not as a Singapore company entering Indonesia.



For Indonesian professionals who live and work across borders, **Client** is the only financial-grade wallet that offers "Singapore-standard" security for everyday Indonesian transactions. Unlike local super-apps built for lifestyle services and rides, we provide a MAS-regulated, QRIS-native platform specialized in cross-border payments trusted by 200K users.

Sources: [Figures on fraud losses](#), [2025 Analysis of payments and ecommerce trends](#), [Study on user satisfaction in Indonesia's e-wallet market](#), [Study on Challenges and Perceptions](#), [Study on adoption of e-wallet in Indonesia](#)

Three channels cover the full urban acquisition funnel — E-commerce for scale, telco for reach, corporate for high-value retention — anchored by Alfamart

Go-To-Market Channels



Integrate with E- & Social Commerce

- Digital wallets that are integrated with e-commerce platforms have a greater likelihood of being used repeatedly.
- E-commerce GMV exceeds \$75B and social commerce is valued at \$5B in 2024. Digital wallets are the #1 online payment method, above credit cards and COD.
- Main Players – Shopee, TikTok, Tokopedia, Lazada, Instagram, Bukalapak



Partner with Telecom Providers

- Use Telco data to simplify the "onboarding bottleneck" and prove the user's legitimacy bypassing KYC processes.
- Integrate with Indosat's "Smart Verify" or Telkomsel's "MSIGHT." These tools use SIM-based data to verify a user's identity and financial reliability.
- Main Players – Telkomsel, Indosat IM3, XL Axiata



B2B2C Corporate Partnerships

- Target Singapore-based company operating in Indonesia or employing Indonesian employees.
- Offer the wallet as a corporate "perquisite" for employees who need to manage funds across both currencies (SGD/IDR).
- Employees of cross-border firms are the highest-ARPU segment. This bypasses high acquisition costs by leveraging an existing employee base.

Anchor Partnership with Alfamart

- Largest convenience store chain in Indonesia (**22,000+** outlets)—provides physical presence and cash liquidity, which are vital for building trust in Indonesia.
- Focus on **Cash-In/Out** and **KYC Assistance**
 - Users can top-up their wallets using cash or withdraw at any Alfamart counter
 - Alfamart staff act as human verifiers, scanning physical IDs to "Premium-verify" the user.
- Alfamart charge a small **admin fee** IDR 2000-2500 per transaction for Cash-In/Out. Already partners with GoPay and OVO.
- For assisted e-KYC, Alfamart might charge IDR 5-10K per user for successful verification.
- **Other options:** Integrate wallet into Alfamart's Point-of-Sale (POS) system for a one-time fee.
- Co-Marketing: feature as preferred payment method in AlfaGift app or in-store promotion.

Bank Indonesia's regulated MDR floor creates a near-level playing field — focus on cross border fees and value-added services to improve margins

Tiered Merchant Fee Model

Merchant Tier	Transaction Size	MDR* Rate
Micro-enterprises (UMI)	< IDR 500,000	0%
Micro-enterprises (above threshold)	> IDR 500,000 upto 2M	0.3%
Small businesses (UKE)	Any	0.7%
Medium businesses (UME)	Any	0.7%
Large businesses (UBE)	Any	0.7%
Cross-border	Any	0.7% + FX margin

Peer-to-Peer Transactions Fee Model

P2P Type	Amount	Fee
Domestic P2P (same wallet)	Any	Free
Domestic P2P (inter-bank)	Any	IDR 2000-2500 flat
Cross-border P2P	Upto IDR 10M/txn	0.5-1% + IDR 5K (flat)
Cash Top-up	Any	IDR 2500 per txn

Break-Even Point Analysis

- The break-even sits at roughly **~5 million** transactions per month — assuming an average transaction value of IDR 100,000 per month and fixed costs of IDR 1700M.
- MDR revenue split is assumed to be 50-50% between wallet provider and other fees including Govt. admin/infra.
- Because margin on payments are so low, most Indonesian wallets only break even by **cross-selling high-margin products** like BNPL, cross-border payments, micro-insurance or investment products.
- Invest in building cross-border volume, where the FX margin is unregulated and 3–4× more valuable per transaction.
- Bank Indonesia occasionally waives MDR for micro merchants which can help in user growth but makes the break-even target even harder to reach solely through fees.

*MDR=Merchant Discount Rate
Sources: [GoPay Merchant](#) - [MDR QRIS tariff regulations](#)

Build institutional trust early and prioritize transaction reliability to convert high-value cross-border users by Day 90

5 Key KPIs for First 6 Months

Activation Rate %

Target $\geq 45\%$

% of users who download the app and make first transaction

Transaction Success Rate %

Target $\geq 95\%$

No. of successful transactions vs errors/failures

Customer Acquisition Cost (CAC)

Target $\leq$ IDR 45K

Total expense a business incurs to convince a new customer to buy

Retention Rate %

Target $\geq 55\%$

% of users who are still active 30 days after their first transaction

Transaction Frequency

Target ≥ 8 /month

Average number of transactions per active user per month

90-Day Launch Roadmap

Days 1-30: Build the Foundation

Get legal, get live, get the first 10,000 users

- Get OJK e-money license approved
- QRIS integration live—Users can now pay at 30M+ merchants on Day 1
- Activate Alfamart cash top-up at 5,000 outlets—for low-income users & first-time wallet adopters
- Soft launch to 10,000 users via e-commerce checkout on Tokopedia/Shopee
- Client-QRIS cross-border QR linkage — the SGD↔IDR transfer feature must be working from Day 1.

Days 30-60: Habit Formation

Scale to 100,000 users and prove they come back

- Open public launch—run co-branded promotions on Shopee/Tokopedia mega-sale events
- Enter partnership with telcos—wallet activation, simplify onboarding, bypass KYC processes
- Close first 3 corporate partnerships—target Singapore-HQ firms operating in Jakarta
- First retention campaign—push notification to users who activated but haven't transacted in 14 days. Offer a 2× cashback on their next txn.
- Security trust campaign—explaining MAS regulated, fraud protection, address pain point #1 identified earlier.

Days 61-90: Own the Use Case

Hit 250,000 users & prove cross-border is the moat

- Cross-border feature marketing push—targeted ads to Indonesian users in Singapore and to users with Singapore travel history; highest-ARPU segment
- Alfamart expanded to full 22,000 outlets—Top-up availability nationwide is now a credibility signal
- First KPI review with leadership—track & monitor all 5 KPIs against targets.
- Merchant onboarding program—identify 500 priority merchants in Jakarta for premium wallet placement and co-marketing.